

Day Trading & Forex Strategy Playbook

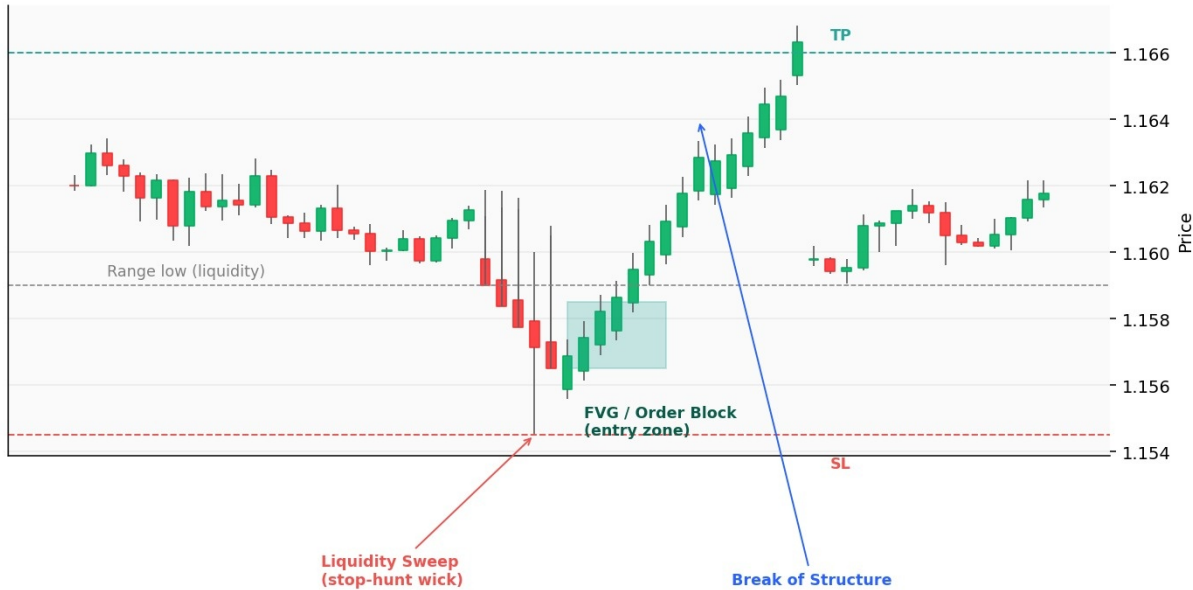
Annotated Chart Examples for Each Strategy + Live EUR/USD Application

This document combines 6 core strategy frameworks with annotated example charts showing exactly where entries, stop losses, and take profits go. The final section applies the MSB and Trend Pullback frameworks to a real EUR/USD chart for direct comparison.

1. Market Structure Break (MSB) — Smart Money Concept

Institutional-style framework: liquidity sweep traps retail traders, a Break of Structure (BOS) confirms the real direction, and entry is taken on retracement into the Fair Value Gap / Order Block.

Market Structure Break (MSB) — EUR/USD 1H



Example: EUR/USD 1H — liquidity sweep below range low, BOS confirms reversal, entry on FVG retrace

Setup Steps

- 1 Mark H4/D1 bias using swing structure (HH-HL = bullish, LH-LL = bearish).
- 2 Identify liquidity zones: previous swing highs/lows, equal highs/lows, Asian session range.
- 3 Wait for a liquidity sweep — a wick beyond the zone that fails to hold.
- 4 Confirm Break of Structure (BOS) in the opposite direction of the sweep.
- 5 Locate the Fair Value Gap (FVG) or Order Block formed during the BOS move.
- 6 Enter on retracement into the FVG/OB with a confirmation candle (M5/M15).
- 7 SL beyond the sweep wick; TP at the next opposing liquidity pool. Target 1:2-1:5 RR.

Risk Parameters

Parameter	Value
Risk per trade	1% of account
Min RR	1:2 (target 1:3+)
Timeframes	H4/D1 bias, M15 structure, M5 entry
Best sessions	London open, NY open, Gold (XAU/USD)

2. Trend Pullback to Structure

High win-rate continuation strategy: trade with the dominant trend, entering on retracements to the 20/50 EMA or prior structure level.

Trend Pullback to EMA20 — Uptrend Continuation



Example: clean uptrend with a pullback into the EMA20, bullish confirmation candle triggers entry

Setup Steps

- 1 Confirm trend direction on H4/D1 — price above rising 50 EMA = uptrend (reverse for downtrend).
- 2 Mark the most recent significant swing low as the structure zone.
- 3 Wait for price to pull back to the 20/50 EMA or 38.2-61.8% Fib retracement.
- 4 Enter on a confirmation candle at the zone (engulfing, pin bar, hammer) on M15/M5.
- 5 SL 0.5x ATR below the pullback low; TP1 at prior swing high (1:2), TP2 at trend extension (1:3+).

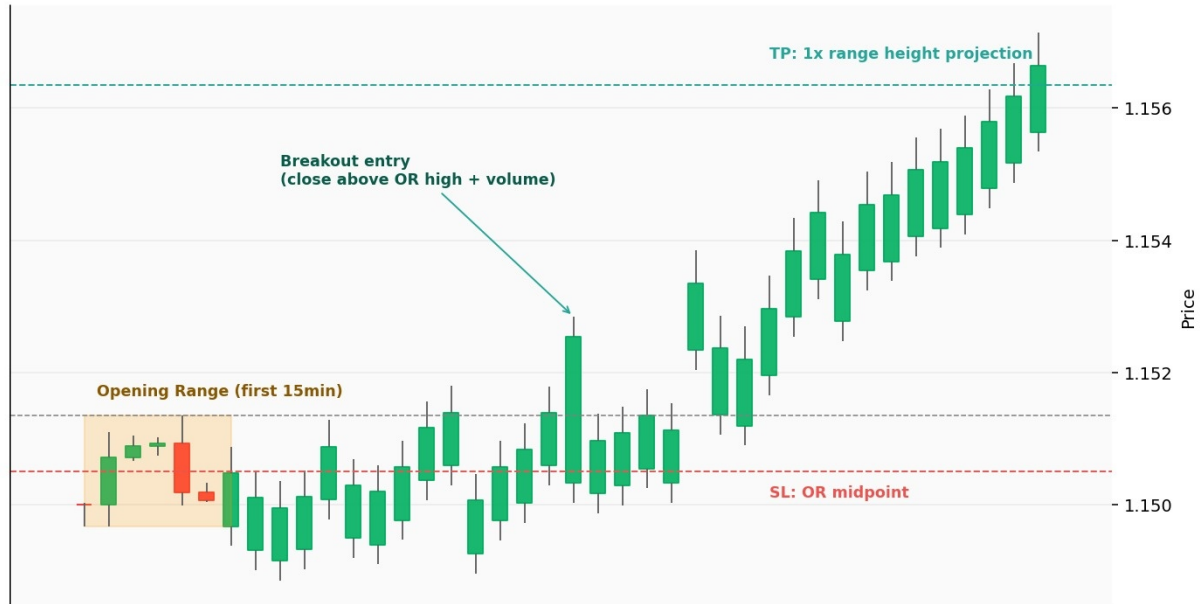
Confluence Checklist

- Pullback reaches 50 EMA or 38.2-61.8% Fib zone
- Aligns with prior resistance-now-support
- RSI pulls back to 40-50 without dropping below 30 (uptrend)
- Volume contracts on pullback, expands on resumption

3. Opening Range Breakout (ORB)

Wall Street classic: the first 15-30 minutes of trading set a range; a volume-confirmed breakout signals the day's directional bias.

Opening Range Breakout (ORB) — First 15-min Range



Example: 15-minute opening range, breakout candle closes above range high with momentum continuation

Setup Steps

- 1 Mark the high/low of the first 5, 15, or 30 minutes after market open.
- 2 Wait for a 5-min candle to close decisively beyond the range with 1.5x+ average volume.
- 3 Enter on the breakout close, or on a retest of the range boundary for higher win rate.
- 4 SL at the range midpoint; TP1 = 1x range height projected from breakout, TP2 = prior day high/low.

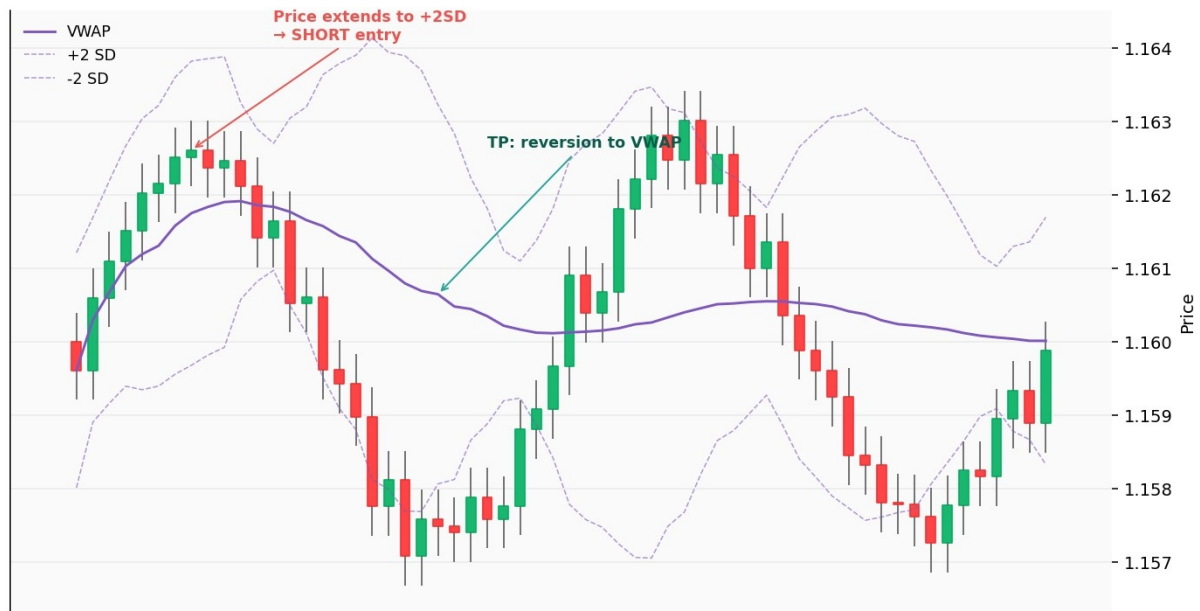
Risk Parameters

Parameter	Value
Risk per trade	1%
Min RR	1:2
Best instruments	SPY/QQQ, NAS100, US30, liquid large caps
Window	First hour of US session (9:30-10:30 EST)

4. VWAP Mean Reversion

On range-bound days, price reverts to VWAP after extending 2 standard deviations away — institutional benchmark behavior creates a fade opportunity.

VWAP Mean Reversion — Range Day



Example: price extends to +2SD band, reversal confirmation triggers short, target is VWAP reversion

Setup Steps

- 1 Confirm a range-bound/low-ADX day (price oscillating around VWAP).
- 2 Wait for price to reach 1.5-2 SD bands away from VWAP.
- 3 Look for a reversal candlestick confirmation at the extreme.
- 4 Enter fading the extreme — SL beyond the swing extreme, TP at VWAP (TP2 = opposite band if momentum continues).

Risk Parameters

Parameter	Value
Risk per trade	0.5-1%
Min RR	1:1.5 (mean reversion), 1:2+ (trend mode)
Avoid	Strong trend days (price walking one band)

5. Supply & Demand Zone Scalping

Fast forex scalping strategy: trade the first reaction at a fresh, untested supply or demand zone for quick 10-30 pip moves.

Supply Zone Rejection — First Touch Scalp



Example: price reaches a fresh supply zone for the first time, rejection wick triggers short entry

Setup Steps

- 1 Mark fresh supply/demand zones on H1/M15 (sharp departures from consolidation).
- 2 Drop to M5/M1 when price approaches the zone.
- 3 Look for a rejection candle (long wick, small body) at the zone boundary.
- 4 SL just beyond the zone (5-15 pips); TP at 1.5-2x SL distance or next minor structure.

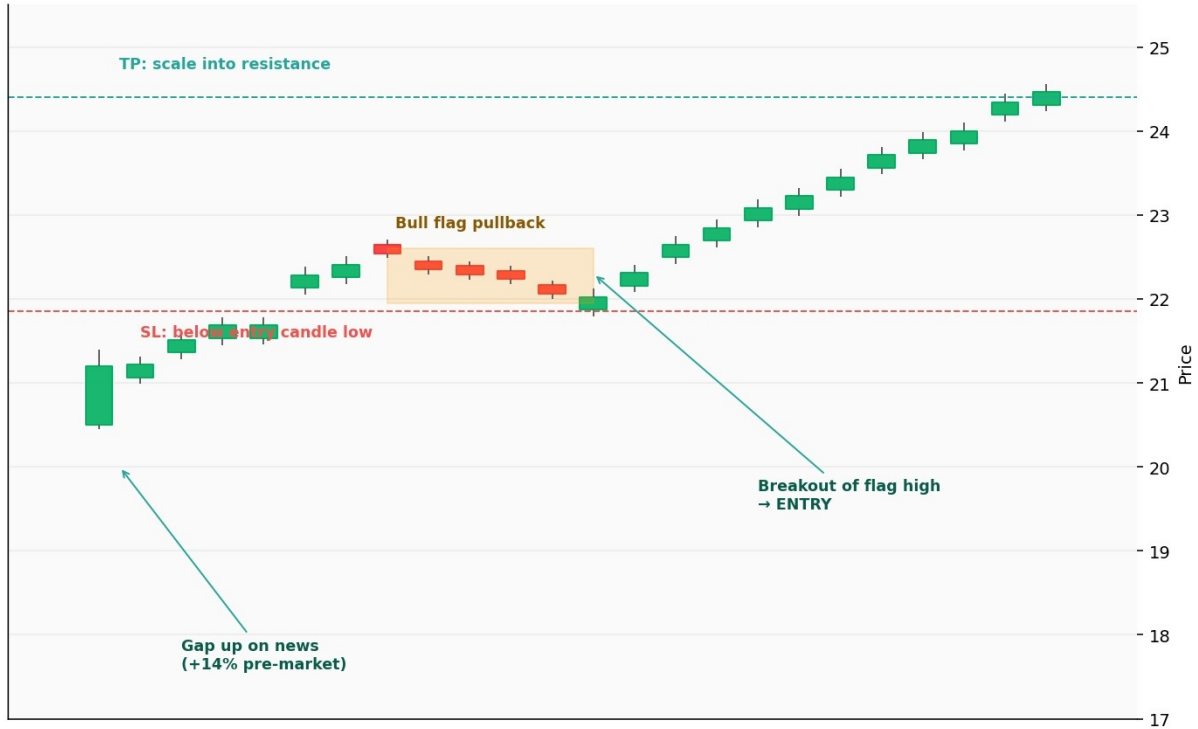
Key Rules

- Only trade the FIRST touch of a fresh zone
- London/NY overlap only (12PM-4PM GMT) for reliable reactions
- Use tight-spread pairs (EUR/USD, GBP/USD, USD/JPY)

6. Gap-and-Go Momentum (US Stocks)

Targets stocks gapping 4%+ on pre-market news with strong relative volume, entering on first-candle breakout or bull flag continuation.

Gap-and-Go Momentum — US Stock 5-min



Example: stock gaps up 14% on news, breaks first 5-min candle high, bull flag pullback continues higher

Setup Steps

- 1 Pre-market scan for 4%+ gappers with 2-5x average relative volume and a real catalyst.
- 2 Prefer low-to-mid float stocks (under 50M shares) with significant news.
- 3 Enter on break of the first 5-min candle's high, or on a bull flag breakout.
- 4 SL below entry candle/flag low; TP scaled into prior day high, round numbers, VWAP extensions.

Risk Note

High volatility strategy — use 0.5% risk per trade due to slippage risk on low-float stocks. Requires real-time scanner and Level 2 data.

7. Applied Example — Your EUR/USD Chart

Applying the MSB and Trend Pullback frameworks to your uploaded EUR/USD charts (1H and 2H, FXCM data, mid-June 2026).

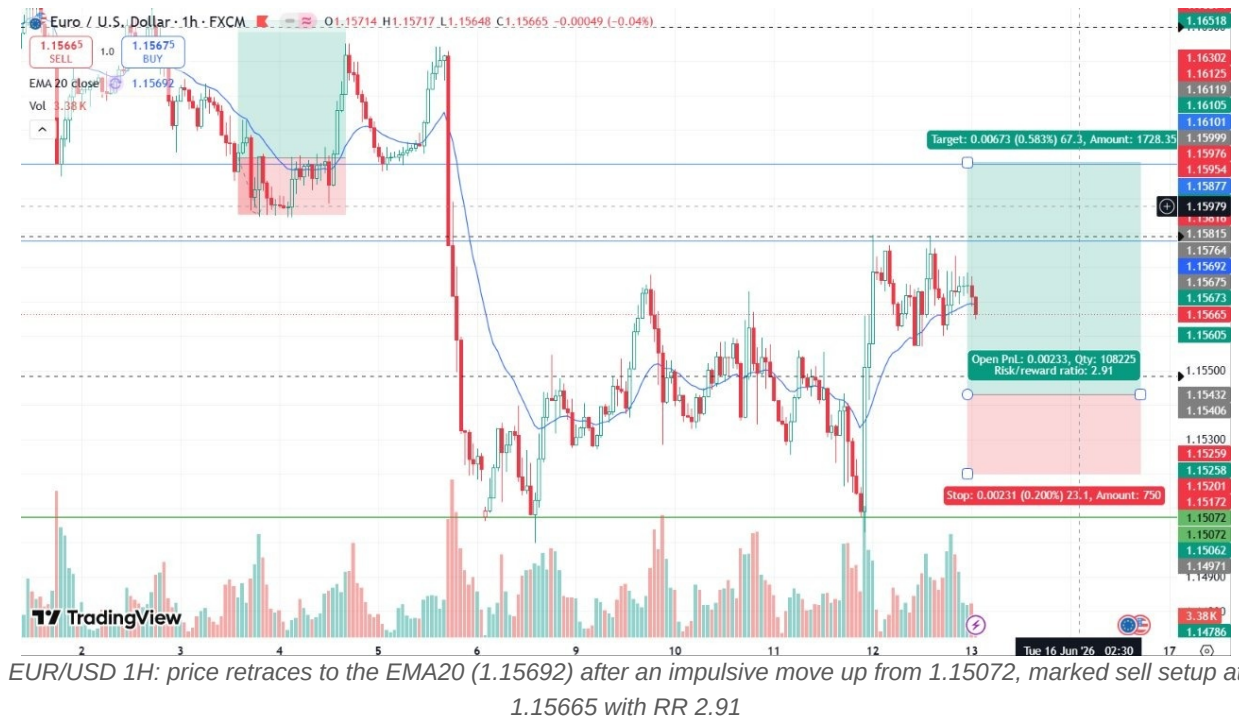
2H Chart — Macro Structure



EUR/USD 2H: downtrend from ~1.17800 into early June (low ~1.14786), followed by a recovery into the current consolidation zone

The 2H structure shows a clear bearish impulse from the May supply zone (1.17681-1.18228) breaking down through 1.15976-1.16101 support, ultimately sweeping to 1.14786. Price has since recovered into a consolidation band roughly 1.15406-1.15976 — this is the zone your 1H chart operates within.

1H Chart — Trade Setup



Reading This Setup Against the Frameworks

- **Structure check (MSB lens):** the move from 1.15072 to 1.15976 represents a BOS off the prior downtrend. Price has now pulled back toward the EMA20 — this pullback sits inside the supply zone visible on the 2H chart (1.15815-1.15976).
- **Pullback check (Strategy 2 lens):** the 1H pullback to EMA20 (1.15692) with price stalling below it mirrors the 'pullback to EMA + rejection' entry pattern — except here the higher-timeframe bias from the 2H chart leans bearish, making this a counter-trend-to-1H / aligned-with-2H short.
- **Marked trade:** Sell 1.15665, SL 1.15815 (above the recent swing high / supply zone — correctly placed), TP 1.15406 (prior consolidation support), RR 2.91.
- **Validation:** wait for a bearish confirmation candle (engulfing or pin bar with upper wick) at/below the EMA20 before entry — don't enter purely on touch.
- **Invalidation:** a clean 1H close above 1.15815 invalidates the short and opens a retest of 1.15976-1.16101.

Bottom Line

This setup is structurally consistent with Strategy 1 (MSB) on the 2H timeframe — sweep/recovery into a supply zone — combined with Strategy 2 (Trend Pullback) execution on the 1H. The RR of 2.91 exceeds the 1:2 minimum, and the stop placement above the supply zone swing high is technically sound.

As with any setup: this is a probability-based read, not a guarantee. Risk no more than 1-2% of account capital, and exit immediately if price closes back above 1.15815.